Category
Analysis of Inventories

INTRODUCTION

The choice of inventory valuation method (also known as the cost formula or cost flow assumption) can have a significant impact on inventory carrying amounts and cost of sales. These items in turn affect other financial statement items, such as current assets, total assets, gross profit, and net income. A company's financial statements and accompanying notes provide important information about its inventory accounting policies that the analyst needs to correctly assess financial performance and compare it with that of other companies.

Learning Module Overview

- Inventories are a major factor in the analysis of merchandising and manufacturing companies. Such companies generate their sales and profits through inventory transactions on a regular basis. An important consideration in determining profits for these companies is measuring the cost of sales when inventories are sold.
- The choice of inventory method affects the financial statements and any financial ratios that are based on them. As a consequence, the analyst must carefully consider inventory valuation method differences when evaluating a company's performance over time or in comparison to industry data or industry competitors.
- Under International Financial Reporting Standards (IFRS), inventories are measured at the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs necessary to make the sale. Under US GAAP, inventories are measured at the lower of cost, market value, or net realizable value depending upon the inventory method used. Market value is defined as the current replacement cost subject to an upper limit of net realizable value and a lower limit of net realizable value less a normal profit margin. Reversals of previous write-downs are permissible under IFRS but not under US GAAP.
- Reversals of inventory write-downs may occur under IFRS but are not allowed under US GAAP.
- Changes in the carrying amounts within inventory classifications (such as raw materials, work-in-process, and finished goods) may provide signals about a company's future sales and profits. Relevant information with respect to inventory management and future sales may be found in the management discussion and analysis or similar section within the annual or quarterly reports, industry news and publications, and industry economic data.
- The inventory turnover ratio, number of days of inventory ratio, and gross profit margin ratio are useful in evaluating the management of a company's inventory.
- Financial statement disclosures provide information regarding the accounting policies adopted in measuring inventories, the principal uncertainties regarding the use of estimates related to inventories, and details of the inventory carrying amounts and costs. This information can greatly assist analysts in their evaluation of a company's inventory management.

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